Theories of International Trade and Investment

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Dr. Arne Floh · Department of Global Trade, WU Vienna

Learning objectives

- Explain **why FDI needs explaining** — the liability of foreignness and the why / where / how questions.
- Distinguish the main **economic theories** of FDI — Hymer's monopolistic advantage, internalization, location theory, Vernon's product life cycle and Dunning's eclectic (OLI) paradigm.
- Contrast them with **behavioral / process theories** — Aharoni's decision-process view and the Uppsala model — and with **resource-based approaches**.
- Apply the **OLI framework** to explain why a real firm expands abroad through foreign direct investment.
- Compare **non-FDI** entry via international collaborative ventures — equity joint ventures versus project-based alliances.
- Interpret global patterns in inward and outward FDI stock.

Opening activity: why build a factory abroad?

IN-CLASS OPENER · 10 MINUTES · THINK–PAIR–SHARE

Objective: surface your own intuitions about foreign expansion — then test them against the theories we cover today.

1. Pick a global firm you know — Apple, Toyota, Zara, Intel, Starbucks, Novartis.
2. It wants to serve a foreign market. It has three broad choices: **export** to the market, **license** a local partner, or **invest directly** (build/buy its own operation, i.e. FDI).
3. Which did your firm choose — and **why**? What did it own, or fear losing, that drove the decision?
4. Name one **advantage the firm carries with it** (a brand, patent or know-how) and one **advantage of the location** it chose.
5. Keep your example — we will map it onto the theories: **monopolistic advantage** → **internalization** → **the OLI paradigm**.

How firms gain and sustain international competitive advantage

- Since the MNE was traditionally the major player in international business, scholars have offered numerous explanations of what makes these firms pursue — and succeed in — internationalization.
- Because FDI has been MNEs’ main strategy in international expansion, theoretical explanations have tended to emphasize it.
- Today’s roadmap: first the **economic theories** of FDI (Hymer, internalization, location, Vernon, Dunning), then the **behavioral** and **resource-based** views — and finally **non-FDI** entry through international collaborative ventures.

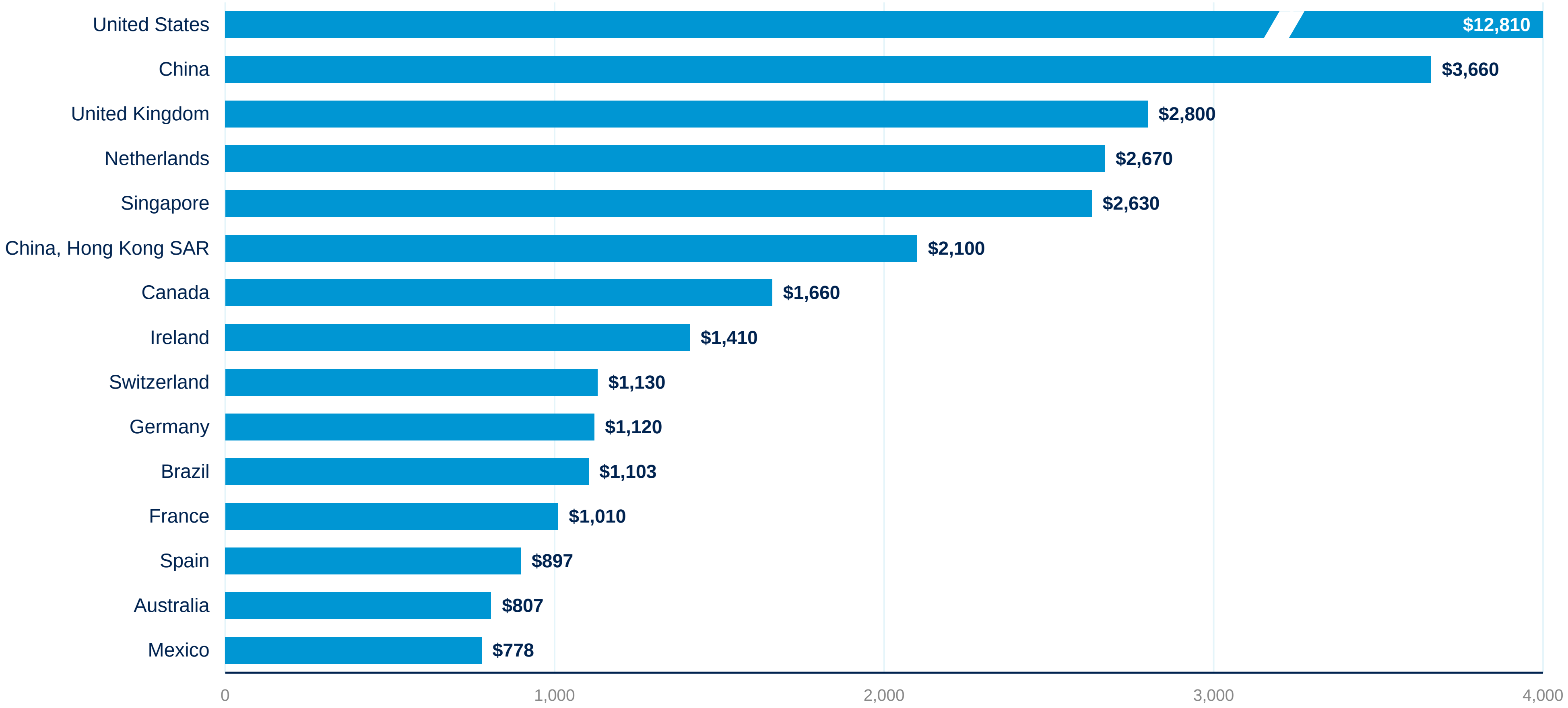
Stages in company internationalization

Firms typically deepen their international commitment gradually, moving from a purely domestic focus toward fully committed involvement abroad.

1 Domestic focus	›	2 Pre-export stage	›	3 Experimental involvement	›	4 Active involvement	›	5 Committed involvement

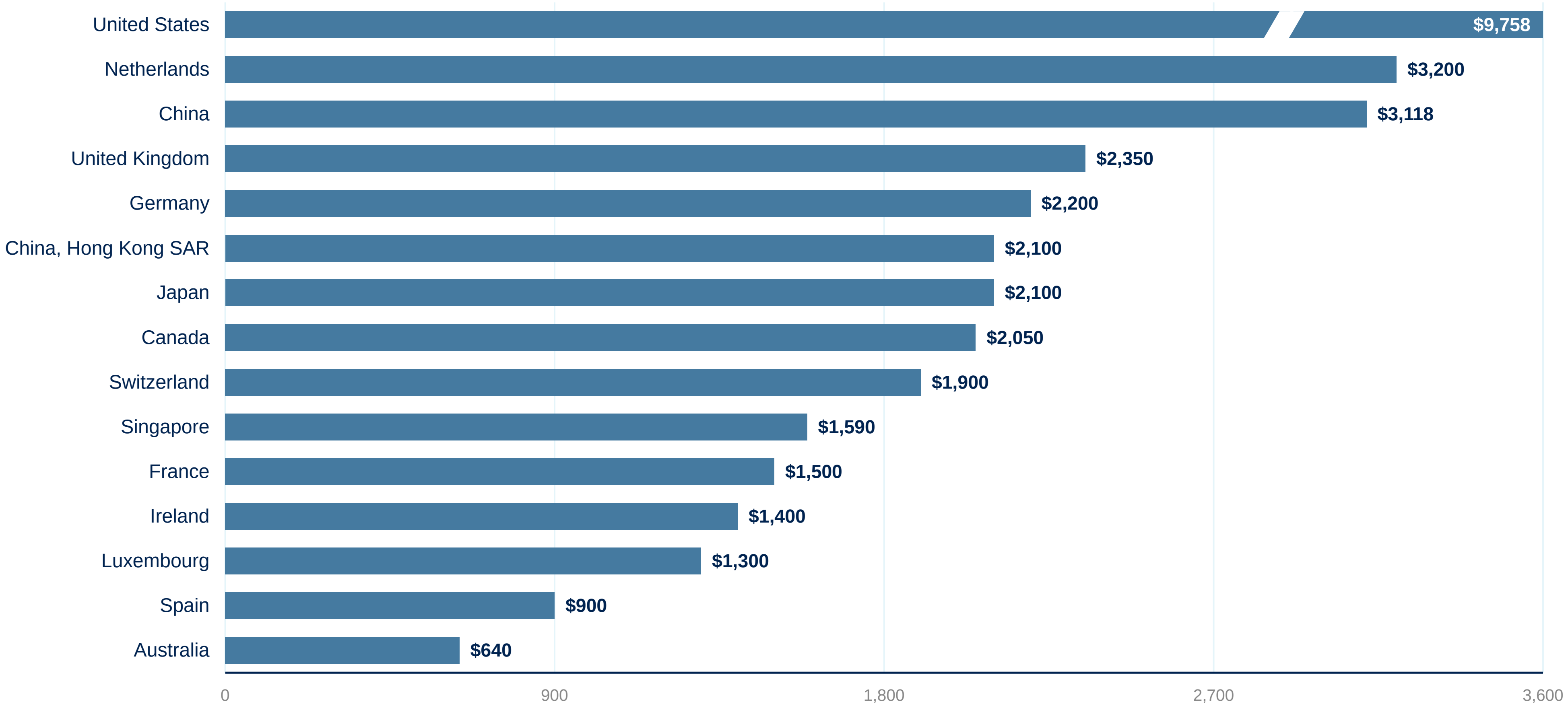
- **Domestic focus** – the firm serves only its home market.
- **Pre-export & experimental** – tentative first steps abroad, often via exporting to nearby or culturally similar markets.
- **Active & committed involvement** – systematic expansion, dedicated resources and, eventually, foreign direct investment.

Stock of inward FDI: leading destinations



Stock of inward FDI, 2023 (US$ billions). Source: UNCTAD, World Investment Report 2024. US shown on a book-value basis (~$12.8 tn; ~$14 tn at market value). World inward FDI stock reached a record ~$41 trillion in 2023 (IMF). The US bar is broken to fit the scale.

Stock of outward FDI: top sources



Stock of outward FDI, 2024 (US$ billions). Source: UNCTAD, World Investment Report 2025; US, Netherlands and China figures are firm, mid-table values are approximate. Global FDI flows fell for a second straight year in 2024 (≈ −11% underlying, excluding conduit flows). The US bar is broken to fit the scale.

Explaining foreign direct investment

- The puzzle (Hymer 1960): foreign entrants face a **liability of foreignness** — the extra costs of doing business abroad that local firms never bear (unfamiliar laws, language, tastes, networks; managing at distance).
- If operating abroad is *more* costly, foreign investors should lose to local rivals — yet MNEs thrive. So FDI needs a positive explanation; it cannot be the default.
- FDI is only one of three ways to serve a foreign market — a theory must explain why firms choose it over **exporting** or **licensing**.
- A complete theory of FDI must answer three questions: **WHY** go abroad (the advantage), **WHERE** to locate (the country), and **HOW** to enter (FDI vs. export vs. licence).
- **Example — Walmart in Germany:** exited in 2006 with a ~US$1 billion loss after misreading local shopping culture, labour relations and regulation that Aldi and Lidl navigated natively.

Economic and non-economic theories of FDI

Economic theories

Rational choice — profit and efficiency maximization; markets, costs and locations drive FDI

- Hymer (1960/1976): monopolistic advantage
- Buckley & Casson (1976): internalization
- Location theory — the “where” question
- Vernon (1966): product life cycle
- Dunning (1977): eclectic paradigm (OLI)

Answer: **why** FDI exists and **where** it goes

Behavioral / process theories

Bounded rationality — managerial perception and incremental learning under uncertainty

- Aharoni (1966): the FDI decision process
- Johanson & Vahlne (1977, 2009): Uppsala model
- Network approaches (Johanson & Mattsson 1988)

Answer: **how** internationalization unfolds over time

Resource-based theories

The firm as a bundle of unique resources; advantage from capabilities, not industry position

- Penrose (1959): theory of the growth of the firm
- Wernerfelt (1984) · Barney (1991): VRIN
- Dynamic capabilities (Teece et al. 1997)

Answer: **with what** the firm competes abroad

A didactic map, not a wall: Penrose (1959) underpins both the Uppsala model and the resource-based view, and Dunning (2000) recast the eclectic paradigm as an “envelope” absorbing behavioral and resource-based insights. Cf. Surdu, Greve & Benito (2021), Journal of International Business Studies.

Hymer’s theory of FDI: monopolistic advantage

- **Stephen Hymer** (MIT dissertation 1960, published 1976) broke with orthodoxy: FDI is **not** portfolio capital chasing higher interest rates — its defining feature is **control** of the foreign operation.
- To offset the costs of doing business abroad, the firm must own **firm-specific (monopolistic) advantages** local rivals lack: superior technology, brands, scale, management know-how, privileged access to finance or distribution.
- These advantages arise from **market imperfections** — under perfect competition there would be no FDI at all.
- FDI lets the firm **exploit its advantage while retaining control** — and, in Hymer’s industrial-organization view, reduce international competition. Kindleberger (1969): the advantage must be transferable abroad and outweigh the locals’ home-turf edge.
- *Limitation: explains why firms* ***can*** *invest abroad — not why they prefer FDI over licensing (→ internalization theory) or where they go (→ location theory).*

Novartis: patents as the monopolistic advantage

REAL-WORLD EXAMPLE · HYMER’S MONOPOLISTIC ADVANTAGE

- The Swiss pharma MNE sells its products in ~120 countries through its own subsidiaries — FY2024 net sales **US$50.3 bn** (+11%), built on patented blockbusters: Entresto $7.8 bn, Cosentyx $6.1 bn, Kesimpta $3.2 bn, Kisqali $3.0 bn.
- **The firm-specific advantage is the patent:** a legal monopoly that local rivals cannot copy — exactly Hymer’s condition for profitable FDI despite the liability of foreignness.
- Novartis sharpened the strategy in October 2023 by **spinning off Sandoz**, its generics arm — becoming a pure-play *innovative-medicines* company that lives almost entirely off patent-protected advantages.
- **And the natural experiment:** Entresto’s US patent protection fell in July 2025 — about ten generics flooded in, and Entresto sales dropped **−46%** within three quarters. Novartis expects a ~US$4 bn hit in 2026, its largest patent cliff ever.
- **Theory takeaway:** when the monopolistic advantage expires, the extraordinary returns vanish — the advantage, not the foreign presence, was the source of profit.

Sources: Novartis FY2024 results, 31 Jan 2025; Novartis Form 20-F (2024), SEC; Novartis media release on the Sandoz spin-off, 4 Oct 2023; Generics Bulletin/Citeline, July 2025 (US Entresto generics); Novartis Q1 2026 results, 28 Apr 2026.

Internalization theory (Buckley & Casson 1976)

- **Buckley & Casson (1976)**, building on Coase (1937): using markets has **transaction costs** — the MNE exists because it **internalizes markets for intermediate products across borders**.
- The critical failing market is the market for **knowledge**: a buyer cannot value know-how without seeing it, licensees may leak or misuse it, and enforceable contracts are hard to write.
- Decision rule: **internalize until the benefits equal the costs**. When licensing is too risky or costly, the firm performs the activity in-house abroad — that is FDI.
- Explains why R&D-, brand- and knowledge-intensive industries (pharma, tech, luxury) are dominated by MNEs rather than webs of licensing contracts.
- **In practice:** Intel keeps chip design and assembly-and-test in-house (e.g. Chengdu, China); Coca-Cola licenses bottling (codifiable, protectable) — but never the syrup formula.

Disney: the licence it regretted

REAL-WORLD EXAMPLE · INTERNALIZATION THEORY

- **Tokyo Disneyland (1983):** Disney entered Japan by **licensing** — the park is 100% owned and operated by Oriental Land Company. Disney invested only ~US$2.5 million and holds no equity; it earns ~10% of admissions and 5% of food-and-merchandise revenue.
- The park was an instant blockbuster (~10 million visitors in year one) — but Disney captured only the royalty stream while its partner kept the operating profits.
- **Lesson internalized — Disneyland Paris (1992):** Disney took the maximum-allowed **49% equity stake** at the 1989 IPO, on top of the same royalties plus management fees — switching from pure licensing to FDI.
- In **2017** Disney bought out the remaining shareholders (€2.00 per share) and delisted Euro Disney — it now owns essentially **100%** of Disneyland Paris.
- **Theory takeaway:** when the market solution (licensing) leaves too much value with the partner, the firm internalizes the foreign operation — precisely Buckley & Casson's prediction.

Sources: The Walt Disney Company, Form 10-K (1994), SEC; Euro Disney S.C.A., Form 20-F, SEC; AMF/PR Newswire, final results of the Euro Disney tender offer, June 2017; Oriental Land Co. corporate history.

Location theory of FDI: the “where” question

- Ownership advantages explain **why**, internalization **how** — location theory answers **where**: activity goes to countries whose immobile, location-specific advantages best complement the firm’s own.
- Key location factors: natural resources · labour costs **and** skills · market size and growth · infrastructure · institutions (rule of law, IP protection, taxes) · trade barriers (**tariff-jumping** FDI) · agglomeration and clusters.
- **Resource-seeking:** secure inputs — oil, minerals, low-cost labour (Dunning’s four FDI motives, 1993).
- **Market-seeking:** access or protect demand; jump trade barriers — Japanese carmakers building US plants in the 1980s (Honda, Marysville 1982).
- **Efficiency-seeking:** rationalize production across borders to exploit factor-cost differences — VW and Audi in Slovakia and Hungary; the logic of global value chains.
- **Strategic-asset-seeking:** acquire technology, brands and talent abroad — Lenovo–IBM PC (2005), Geely–Volvo (2010).

BYD: jumping the EU tariff wall into Hungary

REAL-WORLD EXAMPLE · LOCATION THEORY · TARIFF-JUMPING AND MARKET-SEEKING FDI

- **The trigger:** from 31 October 2024 the EU levies countervailing duties on Chinese-built electric cars — **17% for BYD**, on top of the standard 10% import duty.
- **The response — produce inside the tariff wall:** BYD is building its first European passenger-car plant in **Szeged, Hungary** (announced December 2023; reported investment up to €4 bn): trial production began January 2026, series production is ramping toward ~150,000 and ultimately ~300,000 cars a year.
- BYD also placed its **European HQ and R&D centre in Budapest** (May 2025, ~2,000 mostly graduate jobs) — combining **tariff-jumping** with **market-seeking** proximity to European customers and institutions.
- **Location advantages at work:** EU market access, government incentives, central location, lower-cost skilled labour — Hungary beat rival locations for exactly the factors on the previous slide.
- **And a warning:** BYD's parallel US$1 bn plant in Turkey was put **on hold** in 2026 after Turkey withdrew its tax breaks — location advantages include **policy stability**, and they can vanish.

Sources: European Commission, Implementing Regulation (EU) 2024/2754 (Oct 2024); BYD press release, 22 Dec 2023; electrive, 2 Feb 2026 (Szeged trial production); Fortune, 16 May 2025 (Budapest HQ); Nikkei Asia, June 2026 (Turkey project on hold).

Vernon’s product life cycle theory (1966)

Raymond Vernon, “International Investment and International Trade in the Product Cycle”, QJE 1966 — the optimal production location shifts as the product matures.

1 · New product

Innovated and produced in the high-income home country — close contact between R&D, production and customers; foreign demand served by **exports**.

2 · Maturing product

Design standardizes and demand grows in other advanced economies; cost competition begins → firm **invests in production abroad** to defend those markets.

3 · Standardized product

Competition is purely on price → production migrates to **low-cost developing countries**; the innovating country becomes a net **importer** of its own invention.

- *Limitations: US-centric and dated — innovation is now global, product cycles have collapsed (smartphones launch worldwide at once), and born-global firms skip the sequence entirely (Vernon conceded much of this himself in 1979).*

The television industry: a complete product cycle

REAL-WORLD EXAMPLE · VERNON’S PRODUCT LIFE CYCLE

- **Stage 1 — the US innovates:** RCA launched commercial television at the 1939 New York World’s Fair; in the 1950s–60s dozens of American producers (RCA, Zenith, Magnavox, Motorola, GE…) dominated world output.
- **Stage 2 — production migrates to other advanced economies:** Sony’s Trinitron tube (1968) symbolized Japan’s take-over; through the 1970s–80s Sony, Matsushita and Toshiba out-innovated and out-produced the US industry.
- **Stage 3 — standardization and low-cost locations:** leadership passed to South Korea (Samsung — world #1 TV brand for 20 consecutive years, ~29% of global revenue) and then China: in Q4 2024 Hisense + TCL out-shipped Samsung + LG for the first time.
- **The cycle completes:** the last US-owned maker, Zenith, was sold to Korea’s LG (majority 1995, fully in 1999). Today virtually no TVs are assembled in the US — even Vizio, a US brand acquired by Walmart in 2024, outsources all production to Mexico and Asia.
- **Theory takeaway:** the innovating country ends up a net **importer** of its own invention — exactly Vernon’s stage-3 prediction.

Sources: Early Television Museum (1939 World’s Fair); IEEE Spectrum (Sony Trinitron); Samsung Newsroom/Omdia, 2026 (20 years as global TV leader); Yicai, 2025 (Hisense/TCL shipments); Walmart, 3 Dec 2024 (Vizio acquisition).

Dunning's eclectic paradigm (OLI)

- **John Dunning** (1976 Nobel Symposium; published 1977, refined 1980/1988/2000) deliberately **synthesizes** the earlier theories: O ← Hymer, L ← location theory, I ← Buckley & Casson. Three conditions determine entry via **FDI**:
- **Ownership-specific advantages.** Knowledge, skills, capabilities, relationships or physical assets that the firm owns and which are the basis of its competitive advantages.
- **Location-specific advantages.** Advantages that exist in the target country — such as natural resources, low-cost labour or skilled labour — similar to comparative advantages.
- **Internalization advantages.** Control derived from internalizing foreign-based manufacturing, distribution or other value-chain activities.
- *Criticism: a "shopping list" of variables with limited predictive power (acknowledged by Dunning himself in 1988) — and static: it says little about process and timing (→ Uppsala model).*

O only	O + I	O + L + I
→ License or contract	→ Export	→ FDI

Sony in China: an OLI walk-through

REAL-WORLD EXAMPLE · DUNNING'S ECLECTIC PARADIGM (OLI)

- **Ownership (O):** Sony possesses a huge stock of knowledge, patents and brands in consumer electronics — PlayStation, Bravia TVs, image sensors, Alpha cameras.
- **Location (L):** China offers skilled labour, a deep electronics supplier ecosystem and a large market — China still accounts for roughly a third of Sony's digital-product shipment volume, with ~120 supplier companies in its network.
- **Internalization (I):** to protect quality and proprietary technology, Sony favours controlled, equity-based operations over pure licensing.
- → All three conditions hold — so the OLI decision rule predicts entry via **FDI**, which is how Sony entered China.
- *Nuance: Sony's footprint today mixes its own operations with contract manufacturing spread across Asia — China is a key node, not the only one. The O-L-I logic still holds for each controlled activity.*

Sources: Sony Group supply-chain disclosures (2024); China Daily, Nov 2023 (Sony expanding its China presence); Dunning & Lundan (2008), Multinational Enterprises and the Global Economy.

Behavioral theory of FDI (Aharoni 1966)

- **Yair Aharoni** (1966), *The Foreign Investment Decision Process* — a field study of 38 US firms: FDI decisions are **not** rational profit-maximizing calculus but choices made under uncertainty by managers with **bounded rationality** (Simon; Cyert & March).
- The process needs an **initiating force**: an outside proposal (a foreign government, distributor or client), fear of losing a market, a **bandwagon effect** (following competitors) — or an internal champion.
- **Perceived** — not objective — risk dominates early screening; many profitable projects are never even considered.
- **Commitment accumulates**: the more time and reputation managers invest in investigating a project, the harder it becomes to say no — the process itself generates commitment.
- *Limitation: describes the process but yields few testable predictions — yet it is the direct foundation of the Uppsala model.*

Toyota’s suppliers: follow-the-customer FDI

REAL-WORLD EXAMPLE · AHARONI’S BEHAVIORAL THEORY

- When Toyota started producing in North America — NUMMI, California (1984) and Georgetown, Kentucky (first Camry, May 1988) — its Japanese **keiretsu suppliers followed en masse**.
- By end-1990 there were **~320 Japanese parts and materials plants** in North America, clustered in Michigan, Indiana, Ohio, Kentucky and Tennessee. Denso broke ground in Battle Creek, Michigan in 1985 — timed to serve the arriving assemblers.
- **The initiating force was not market analysis:** research shows entry was triggered by pre-existing buyer–supplier ties and by other suppliers’ moves — the customer relationship and the bandwagon, exactly Aharoni’s “initiating forces”.
- The motives map one-to-one: **outside proposal** (the customer asks), **fear of losing the account** (if a rival supplier goes and you don’t), and **follow-the-leader** imitation.
- **Theory takeaway:** FDI here was a relational, defensive decision under uncertainty — not an optimizing location calculus.

Sources: Martin, Mitchell & Swaminathan (1995), Strategic Management Journal; Martin, Swaminathan & Mitchell (1998), Administrative Science Quarterly 43; Washington Post, 8 May 1988; Denso corporate history (Battle Creek).

The Uppsala model of internationalization

Johanson & Vahlne (1977, JIBS), building on four Swedish cases (Sandvik, Atlas Copco, Facit, Volvo; Johanson & Wiedersheim-Paul 1975) — internationalization as incremental learning: experiential knowledge → commitment → more knowledge → more commitment.

1 No regular export	›	2 Export via independent agents	›	3 Sales subsidiary	›	4 Production subsidiary

- **Establishment chain:** firms deepen commitment step by step — and enter **psychically close** markets first (similar language, culture, institutions), then progressively more distant ones.
- **2009 revision:** markets are networks of relationships — the key barrier is no longer the liability of foreignness but the **liability of outsidership** (not being an insider in the relevant business network).
- *Criticism: many firms leapfrog the stages, and **born-global** firms (Oviatt & McDougall 1994; Knight & Cavusgil 2004) internationalize rapidly from inception.*

IKEA: sixty years of ring-by-ring expansion

REAL-WORLD EXAMPLE · THE UPPSALA MODEL

- Founded 1943 in Älmhult, Sweden; first store abroad in **psychically closest** Norway (Nesbru, 1963), then Denmark (1969) — Scandinavia first.
- Next ring outward: **Switzerland 1973** (first store outside Scandinavia) and **Germany 1974** (Munich) — culturally and linguistically proximate Europe.
- Then Australia 1975, Canada 1976, Austria 1977, the Netherlands 1978 — and the **US only in 1985**, twenty-two years after the first foreign step.
- The highest-psychic-distance markets came last, after long preparation and heavy adaptation: **China 1998** (city-centre formats, localized offer) and **India 2018** (Hyderabad, ~5 years after approval).
- Today: **~504 stores in 63 markets** (FY2024) — six decades of exactly the incremental, ring-by-ring expansion the Uppsala model predicts.

Sources: IKEA Museum (first store abroad, 1963); Inter IKEA Group, Financial Summary FY24; US–China Business Council (IKEA in China); IKEA corporate expansion timeline.

Resource-based approaches to internationalization

- **Penrose** (1959): the firm is an administrative organization and a **bundle of productive resources**; growth — including foreign growth — is driven by unused resources and limited by how fast management can absorb expansion.
- **Wernerfelt** (1984) coined the “resource-based view”; **Barney** (1991): sustained advantage comes from resources that are **V**aluable, **R**are, **I**nimitable and **N**on-substitutable (VRIN, later VRIO).
- Applied to FDI: internationalization **exploits** the firm’s unique capabilities abroad — and FDI is chosen when those capabilities are **tacit** and embedded in routines: they transfer well inside the firm but poorly through markets (Kogut & Zander 1993).
- Internationalization also **augments** resources: strategic-asset-seeking FDI acquires new capabilities abroad — connecting the RBV to Dunning’s fourth motive; **dynamic capabilities** (Teece et al. 1997) explain how firms reconfigure resources across borders.
- *Criticism: risks tautology (valuable resources defined by the success they explain), and VRIN advantages may not travel — some advantages are location-bound.*

Lenovo–IBM: buying the resources you lack

REAL-WORLD EXAMPLE · THE RESOURCE-BASED VIEW

- In May 2005 Lenovo — then world **#9** in PCs with ~2.3% share — bought IBM's PC division for **US$1.75 bn** ($650 m cash + $600 m in shares + ~$500 m assumed liabilities).
- What it really bought were **VRIN resources** it could not build at speed: the **ThinkPad** brand, IBM's PC R&D (including the famous Yamato lab in Japan), a global sales force in 160 countries, and 5-year rights to the IBM logo.
- The deal made Lenovo instantly world #3; by **2013 it was #1 in PC shipments** — and it still leads, with ~25% global share (2025, IDC).
- The pattern repeated in 2014: IBM's x86 server business (~US$2.1 bn) and Motorola Mobility (US$2.91 bn) — strategic-asset-seeking FDI as a systematic growth strategy.
- **Theory takeaway:** an emerging-market firm can leapfrog decades of capability-building by **acquiring** resource bundles abroad — the RBV read on Dunning's fourth motive.

Sources: Lenovo press releases (3 May 2005 completion; ten-year retrospective); CNBC, 10 Jul 2013 (Lenovo becomes #1); IDC 2025 shipment data; TechCrunch, 30 Oct 2014 (Motorola closing).

The theories side by side

Theory	Landmark work	Example	The story in one line	What it explains
Hymer: monopolistic advantage	Hymer 1960/1976	**Novartis**	Patents = firm-specific monopoly power; when Entresto's patent fell (2025), the returns fell with it	Why FDI is possible at all
Internalization theory	Buckley & Casson 1976	**Disney**	Licensed Tokyo (1983) and captured only royalties; took equity in Paris (1992), full ownership 2017	Why FDI beats licensing
Location theory	Dunning 1993	**BYD**	Szeged plant + Budapest HQ jump the EU's 17%+10% tariffs and sit next to the customers	Where FDI goes
Product life cycle	Vernon 1966	**Televisions**	US innovates (1939) → Japan → Korea → China; the US now imports its own invention	When and where production shifts
Eclectic paradigm (OLI)	Dunning 1977	**Sony in China**	O (patents, brands) + L (skilled labour, suppliers) + I (control) all hold → FDI	Why, where and how — combined
Behavioral theory	Aharoni 1966	**Toyota's suppliers**	~320 Japanese supplier plants followed their keiretsu customer to North America by 1990	What actually triggers the decision
Uppsala model	Johanson & Vahlne 1977	**IKEA**	Norway 1963 → Switzerland 1973 → US 1985 → China 1998 → India 2018: ring by ring	How commitment deepens over time
Resource-based view	Barney 1991 (Penrose 1959)	**Lenovo**	Bought IBM's PC unit (2005) to acquire the ThinkPad brand, R&D and global reach — #1 since 2013	With what firms compete abroad

Apply it: run an OLI analysis

IN-CLASS ACTIVITY · 15 MINUTES · SMALL GROUPS

Objective: use Dunning's eclectic paradigm to judge whether a firm should enter a foreign market via FDI — and to defend the decision with evidence.

1. Take the firm from the opening activity (or choose a new one) and a specific target country.
2. **Ownership (O):** what firm-specific advantages does it own — patents, brand, technology, scale — that it can exploit abroad?
3. **Location (L):** what does the target country offer — market size, low-cost or skilled labour, resources, proximity to customers?
4. **Internalization (I):** is control important enough (to protect quality or know-how) to justify owning the operation rather than licensing?
5. Verdict: only if **all three** hold does OLI predict entry by FDI. If one is missing, propose an alternative — exporting, licensing or a collaborative venture — and say why.
6. Cross-check with the process theories: would the **Uppsala model** predict this market as an early or late step — and what **initiating force** (Aharoni) might actually trigger the decision?

Non-FDI-based explanations: international collaborative ventures

- A form of cooperation between two or more firms: partners **pool resources and capabilities** to create synergies and share the risk of joint efforts.
- Starting in the 1980s, firms increasingly used collaborative ventures as a way to venture abroad.
- Collaboration provides access to foreign partners’ know-how, capital, distribution channels or marketing assets — and helps overcome government-imposed obstacles.
- Unlike the FDI-based theories, collaborative ventures allow firms to internationalize without full ownership of foreign operations.

Two types of international collaborative ventures

- **Equity-based joint ventures** result in the formation of a new legal entity. Unlike wholly owned FDI, the firm collaborates with local partner(s) to reduce risk and the commitment of capital.
- **Project-based alliances** require no equity commitment — only a willingness to cooperate in R&D, manufacturing, design or another value-adding activity.
- Because project-based alliances have a narrowly defined scope and timeline, they give the firm greater flexibility than equity-based ventures.

Case: equity JV vs. project-based alliance

Tata Starbucks

Equity-based joint venture · new legal entity

- **Partners:** Starbucks (USA) & Tata Consumer Products (India) — a 50:50 **equity joint venture**, Tata Starbucks Pvt Ltd, a new legal entity (2012).
- **Each brings:** Starbucks the global brand, store format and coffee know-how; Tata local market access, real estate, coffee sourcing and regulatory navigation.
- **Why:** enter a tea-dominant, tightly regulated high-growth market by sharing risk and capital.
- **Outcome:** ~500 stores across India and its first profitable year (2026); target 1,000 stores by 2028.

BMW × Toyota

Project-based alliance · no equity

- **Partners:** BMW (Germany) & Toyota (Japan) — a **project-based, non-equity alliance**; no new company is formed.
- **Each brings:** Toyota its fuel-cell leadership, BMW its vehicle integration and engineering — pooled for joint R&D.
- **Why:** share the cost and risk of an uncertain technology (hydrogen fuel cells) without a capital-heavy tie-up.
- **Outcome:** deepened in 2024 to co-develop a 3rd-generation fuel-cell system; BMW’s first series fuel-cell car is due in 2028.

Discussion: choosing how to collaborate

WHOLE-CLASS DISCUSSION · 10 MINUTES

- Map each venture onto the theory: which is equity-based and forms a new entity, and which is a non-equity, time-bound alliance?
- For each pair of partners, what firm-specific advantage does each side contribute — and what would each risk losing by going it alone?
- Why might these firms choose a collaborative venture instead of full FDI (a wholly-owned operation)? Use the OLI logic in your answer.
- When does a project-based alliance beat an equity joint venture — and when is the reverse true?
- Recall Afeela (Sony–Honda), a 50:50 EV venture scrapped in 2026 before shipping a car: what does its failure tell us about the risks of collaborative ventures?

DEPARTMENT OF GLOBAL TRADE
WU VIENNA

DR. ARNE FLOH

Senior Lecturer in International Marketing
Deputy Program Director MSc Export- and Internationalisation Management

arne.floh@wu.ac.at

Welthandelsplatz 1, 1020 Wien, Austria
www.wu.ac.at